SECURITIES AND EXCHANGE BOARD OF INDIA

PRIMARY MARKET DEPARTMENT

Earnest House, 14th Floor

Nariman Point, BOMBAY - 400 021.

RRTI Circular No. 1 (93-94) November 5, 1993

To All Registered Registrars to an Issue

Dear Sirs,

With the passing of the Securities and Exchange Board of India Act, 1992 and notification of the Registrars to an Issue and Share Transfer Agents Rules and Regulations, 1993, no person shall act either as a Registrar to an Issue and/or Share Transfer Agent unless he is registered with SEBI under Section 12 of the Act. SEBI has granted Certificates of Registration to certain Registrars to an Issue (RTI) and Share Transfer Agents (STA) in terms of Rule 4, and Regulation 8 of SEBI (Registrars to an Issue and Share Transfer Agents) Rules & Regulations, 1993 either to act both as Registrars to an Issue and Share Transfer Agents (Category I) or only as Registrars to an Issue/ Share Transfer Agents (Category II).

In terms of the powers conferred on it under Section 11 of the SEBI Act, 1992, SEBI will, from time to time, issue operational guidelines/ instructions to the Registered Registrars to an Issue and Share Transfer Agents by means of circulars. This is the first circular in the series on Registrars to an Issue function and accordingly has been numbered as RRTI Circular No. 1. (General instructions so far issued by SEBI to the Registrars to an Issue have been consolidated and included in this Circular). Further circulars on RTI function would bear continuous serial numbers, valid for the relevant financial year. All Registered Registrars to an Issue should ensure compliance with the instructions contained in such circulars.

Circulars on **Share Transfer Agents** function shall constitute a different series and shall be numbered **as RSTA Circulars.**

A. REGISTRATION:

1. The registration granted pursuant to Chapter II of the Securities and Exchange Board of India (Registrars to an Issue and Share Transfer Agents) Regulations, 1993, (hereinafter referred to as the "Regulations") will be for the principal as well as for all the branch offices in India of the Registrars to an Issue, declared in its application for registration.

B. GENERAL:

1. With a view to ensuring that all Rules, Regulations, Guidelines, Notifications etc. issued by SEBI, the Government of India, and other regulatory organisations are complied with, the Registrars to an issue shall designate a senior officer as Compliance Officer, who shall coordinate with regulatory authorities in various matters and provide necessary guidance as also ensure compliance internally. The Compliance Officer shall also ensure that observations made/ deficiencies pointed out by SEBI in the functioning of the Registrars do not recur.

2. Correspondence relating to registration and clarifications on Guidelines/ Circulars issued by SEBI shall be made only by the Principal Office of the Registrars and not by the branch offices.

3. Necessary Code of Conduct for the officers and employees of the Registrars should be framed to prevent insider trading, in the light of SEBI Insider Trading Regulations, 1992.

4. Regulations 22 and 23 provide for penalty of suspension/ cancellation of registration for persistent defaults by the Registrars to an Issue. However, in order to give an opportunity to the Registrars to an Issue to make up the deficiencies in their functioning and to strengthen their machinery, SEBI may issue warning letters or penalty point advices by which the Registrars to an Issue would be forewarned in respect of their omissions. A Registrar to an Issue who; despite the receipt of three warning letters or penalty point advices, does not show improvement or fails to make up the deficiencies, may be subjected to action for default in terms of Regulation 22 or 23 as the case may be.

5. Memorandum of Understanding: (Valid Agreement)

In terms of Rule 4(b), before taking up any assignment to act as RTI, every RTI must invariably enter into a valid agreement with the company making the issue (issuer) clearly setting out their mutual rights, liabilities and obligations relating to the issue and more specifically, the inter-se responsibilities for redressal of investor grievances after the closure of the Issue. SEBI shall endeavour to provide a draft of the Agreement in due course. The RTI may adapt the draft and incorporate such clauses as may be considered necessary for defining his rights and obligations vis-a-vis the issuer. While doing so, it must, be ensured that neither party should reserve for itself any .rights, which would have the effect of diminishing in any way its liabilities and obligations under the Companies Act, 1956 and SEBI (RTI and STA) Rules and Regulations,1993.

The Registrars should ensure that such an agreement provides for retention of issue records atleast for a period of six months from the last date of despatch of letters of allotment / share certificates/refund orders to enable the investors to approach the Registrar for redressal of their complaints.

C. STOCKINVEST

In November 1992, SEBI had issued a circular to the Registrars to Issue outlining the procedure to be followed by them while handling applications accompanied by stockinvest. Subsequent to the issue of the said circular, there have been certain modifications to the stockinvest scheme. Accordingly, the revised outline of the procedure to be followed while handling applications accompanied by stockinvest is given in Annexure A.

D. **BULK MAILING OF REGISTERED LETTERS, ARTICLES ETC.:**

RTIs are aware that all share/debenture certificates refund orders, interest/dividend warrants etc. are required to be sent by Registered Post. In order to mitigate the problems faced by all parties concerned and evolve a time saving facility for bulk mailing of these articles, SEBI had arranged a meeting of the Registrars to the Issue based in Bombay with the Controller (Mail Planning and Operations) of the Bombay G.P.O. in October 1991, when the Controller explained the procedure for bulk mailing of Registered articles. The procedure as explained by him is set out below for the benefit of all Registrars.

1. The Registrars to the Issues should tender bulk registered mail to the

2. The registration number contained in the certificate of registration should be quoted in all the correspondence with SEBI, Government authorities, Stock Exchanges and its clients.

.2/-

designated post offices.

2. The department (i.e. the Office of the Chief Postmaster General) will grant permission for computerised Registered Journals by the parties concerned with a separate code for each mailer and a separate pre-fix for each issue/company.

3. The Registrars to the Issue should prepare PIN code number wise list and accordingly club articles to be mailed (this is already being done in case of mail posted by certain Consultancy Services).

4. In case of very large bulk registered mailers, facility of accepting, sorting and bagging at their premises will be arranged by postal authorities. The department will also arrange to provide for necessary manpower, canvas bags, stamps, seals etc. The mailer will provide for transport for taking the bags to the Railway Station/Airport.

5. The Registrars to the Issue should intimate their bulk mailing programme to the designated post offices or mailing centres at least a .week or 10 days in advance and obtain necessary permission for the same. These post offices of bulk mailing centres will also act as nodal agencies for bulk booking as also for providing related assistance of

manpower, etc.

RTIs may note that for the purpose of ensuring despatch of refund orders etc. by Registered Post only, issuers are made to declare in the prospectus that adequate funds will be made available to the Registrars for the purpose. RTIs shall therefore ensure mailing of articles by Registered Post as per the extant Postal Rules.

E. PROCESSING OF APPLICATIONS

1. The Registrars should take proper care and evolve a suitable system whereby multiple applications can be weeded out and eliminated.

2. Instances of multiple applications should be brought to the notice of the Companies (Issuers) as also the lead managers for necessary action.

3. Registrars shall ascertain from bank schedules whether each application form was accompanied by a separate cheque as required in terms of instructions printed on the reverse of application forms. In case a bunch of applications have been submitted with a single cheque, such fact should also be brought to the notice of the lead manager for appropriate action.

4. In order to prevent fraudulent encashment of refund orders by third parties, the applicant is now being given an opportunity to provide information in the relative application form as to his savings bank/ current account number and name of the bank with whom such account is held. For the purpose, the application form shall contain suitable provision. The Registrars to the issue shall note to capture these details while processing the application forms and incorporate the same in the refund order.

5. With the introduction of collection agents for collection of applications and with the reduction in the number of mandatory collection centres from 57 to 30, It has been provided that - .

a) applications accompanied by stockinvest received by collection agents shall be sent directly to the registrars to the issue along with the schedules within one week from the date of closure of the Issue ;

b) investors from places other than those where the mandatory centres and authorised collection centres are located, can forward their applications along with stockinvests directly to the Registrars to the Issue by Registered Post with acknowledgement due.

The Registrars shall note to maintain proper records of all applications received through post by them.

F. BASIS OF ALLOTMENT IN CASE OF OVERSUBSCRIPTION

Wherever the prospectus provides for basis of allotment to be decided on a proportionate basis, the Registrars shall follow the procedure as given in Annexure B for deciding the basis, of allotment.

Please acknowledge receipt of this circular.

Yours faithfully,

Sd/-

V.H..PANDYA

SR.EXECUTIVE DIRECTOR

Encl: as above.

ANNEXURE "A"

Procedure for handling of applications accompanied by stockinvest

1. Registrars shall receive applications for subscription to shares, debentures etc. accompanied by stockinvest alongwith separate schedules from the controlling branches of bankers to the issues, authorised collection agents wherever provided and directly from investors residing in places other than 30 mandatory centres.

2. Registrars shall give in-house number on the reverse of the stockinvest as indicated in the applications and thereafter detach the stockinvest and keep them in safe custody. The in-house number should bear distinctive character.

3. Registrars shall process applications with stockinvest simultaneously with other applications for working out the basis of allotment and despatch of appropriate advice. For the purpose of allotment, applications received with stockinvest should invariably be given the same treatment as applications received with other modes of payment. Any deviation from this will be viewed seriously.

4. Registrars shall generate report for non-allottees and all successful/partially successful allottees. Only stockinvests of such successful applicants shall be segregated, while other stockinvests shall be cancelled.

5. In case of non-allottees / partially successful allottees with more than one stockinvest, the cancelled stockinvests shall be returned to the applicants alongwith the relative advice. The stockinvest should bear stamps such as - "CANCELLED" and "NOT ALLOTTED" across the face of the instrument.

6. In case of full or partial allotment, the right hand portion of the stockinvest shall be filled in for the amount payable on the shares/debentures etc. 'allotted and the stockinvests shall be discharged on behalf of the Issuer company for collection of proceeds.

7. The Registrars shall arrange to obtain authorisations from the Issuer companies to sign on their behalf and- for realising the proceeds of stockinvest from the Issuing banks or for affixing "non-allotment" advice on the instrument, or cancelling the instrument of non-allottees or partially successful allottees with more than one stockinvest.

8. Registrars shall deposit stockinvest, duly filled in and sorted out "issuer bank branch-wise" (except at Bombay, Delhi, Calcutta, and Madras as in the case of cheques/drafts), with the company's banker whose name shall be intimated to him in advance by the company and who will take further steps to realise the amount of the stockinvest from the issuing bank through banking channel and credit the company's account.

9. Registrars shall advise the investors of the outcome of allotment by issuing allotment advice/ despatching of share./ debenture certificates etc. without loss of time.

10. Registrars shall reject multiple applications received with a single stockinvest.

11. Registrars shall ensure that the stockinvest is utilised by the purchaser(s) and the purchaser's name/ name of one of the purchasers is invariably indicated as the first applicant in the share application form. Thus, if the signature of the purchaser on the stockinvest and the

Annexure to Annexure "B"

Size of public offer - 2,00,000 equity shares of Rs. 10/-

each at a premium of Rs. 40/-

No. of times Oversubscribed - 3 times

Total Number of shares applied for - 6,00,000 equity shares

S. No.	No. of Shares applied for category (Category-wise)	No. of applicants	Tot. No. of shares applied by each applicant (2x3)	Proportion-ate allocation to each category (one-third)	Number of shares allotted per applicant by rounding off	No. of successful applicants	Total no. of shares allotted (6x7)
1	2	3	4	5	6	7	8
	100	1,500	1,50,000	50,000 +3,300 *	100	500 + 33 *	50,000 +3,300
	200	400	80,000	26,700	100	267	26,700
	300	300	90,000	30,000	100	300	30,000
	400	300	1,20,000	40,000	100	300	30,000
	500	200	1,00,000	33,300	200	200	40,000
	600	100	60,000	20,000	200	100	20,000
			6,00,000	2,00,000			2,00,000

NOTE

(A) In the above example the number of shares allocable to each category of the applicants have been arrived at in Column No, 5 in proportion to the number of times the issue has been oversubscribed.

(B) * In the case of category No. 4 number of shares actually allotted is less than the number of shares available for allotment in that category on proportionate basis. Further, in category 5, shares allotted to the successful applicants in that category is more than the shares available for allocation in that category. This is on account of rounding off to the nearest hundred. With the result after making adjustment, 3300 shares remain to be allotted from the offering. This number has been included in the category 1 i.e. the applicants who had applied for minimum number of shares.

(C) In the case of applicant in categories 1 & 2 who have applied for 100 and 200 shares respectively, the applicants in each of the above categories shall be entitled to 33 and 66 equity shares respectively which have been rounded off to marketable lots of 100 each. As a result the successful applicants shall be getting 100 shares.

In the case of applicants in category 3, 4, 5 and 6, they should be respectively entitled to allotment of 100, 133, 166 and 200 equity shares respectively. However, the actual entitlement would be rounded off to 100 shares each for categories 3 & 4 and 200 shares for categories 5 & 6 respectively.

signature of the first applicant on the application form does not tally, the application should be treated as having been. accompanied by a third party stockinvest.

12. Registrars may ensure that the stockinvests are used by the purchaser(s) within 10 days of issue.. (For the purpose, the last day for use of the stockinvest for submitting share application to the bank is indicated on the face of the stockinvest with a notation 'To be used before ....".)

13. Registrars shall ensure that the stockinvests are drawn in the name of the issuer company only.

14. Registrars shall regularly maintain a proper record of applications received with stockinvests, giving, inter-alia, the name of the investor, station code, number and value of stockinvest attached, utilised and returned to enable the Registrars to reply to the Investors' queries promptly.

The Registrars are advised to follow the procedure detailed above meticulously. Non-compliance of any aspect would invite penal action by SEBI.

****

ANNEXURE "B"

Basis of Allotment on Oversubscription

The allotment shall be subject to allotment in marketable lots, on a proportionate basis as explained below:

(a) Applicants will be categorised according to the number of securities applied for.

(b) The total number of securities to be allotted to each category as a whole shall be arrived at on a proportionate basis i.e. the total number of securities applied for in that category (number of applicants in the category x number of securities applied for) multiplied by the inverse of the oversubscription ratio as illustrated below.

Total number of applicants In category of 100s - 1,500

Total number of securities applied for - 1,50,000

Number of times oversubscribed - 3

Proportionate allotment to category - 1,50,000 x 1/3

= 50,000

(c) Number of the securities to be allotted to the successful allottees will be arrived at on a proportionate basis i.e. total number of securities applied for by each applicant in that category multiplied by the inverse of the oversubscription ratio. (Please see Annexure).

Number of securities applied for by - 100

each applicant

Number of times oversubscribed - 3

Proportionate allotment to each

successful applicant - 100 x 1/3 = 33

(to be rounded off to 100)

(Please see clause'd' below)

(d) All the applications where the proportionate allotment works out to less than 100 securities per applicant (say for example which may arise in issues of shares with a premium of Rs. 40/- per share) the allotment shall be made as follows:

(i) Each successful applicant shall be allotted a minimum of 100 securities; and

(ii) The successful applicants out of the total applicants for that category shall be determined by drawal of lots in such a manner that the total number of securities allotted in that category is equal to the number of securities worked out as per (b) above.

(e) If the proportionate allotment to an applicant works out to a number that is more than 100 but is not a multiple of 100 (which is the marketable lot), the number in excess of the multiple of 100 would be rounded off to the higher multiple of 100 if that number is 50 or higher. If that number is lower than 50, it would be rounded off to the lower multiple of 100. (As an illustration, if the proportionate allotment works out to 250, the applicant would be allotted 300 securities. If however the proportionate allotment works out to 240, the applicant would be allotted 200 securities).

All applicants in such categories would be allotted securities arrived at after such rounding off.

(f) If the securities allocated on a proportionate basis to any category is more than the securities allotted to the applicants in that category, the balance available securities for allotment shall be first adjusted against any other category, where the allocated securities are not sufficient for proportionate allotment to the successful applicants in that category. The balance securities if any, remaining after such adjustment will be, added to the category comprising of applicants applying for minimum number of securities.

By way of illustration a reference may be made to category No. 5 in the Annexure i.e. the applicants applying for 500 securities. These applicants are entitled on proportionate basis to be allotted 40,000 securities at 200 securities per applicant. However, the number of securities allocated to that category on proportionate basis is only 33,300. The deficit of 6,700 securities will be taken from the surplus securities, available in category 4. In that category as against total number of 30,000 securities to be allotted, the actual securities allocated on proportionate basis is 40,000 securities leaving the surplus of 10,000 securities.

After adding 6,700 securities to the category No. 5, the balance of 3,300 securities will be added back to the category No. 1, which comprises the applicants applying for minimum number of securities. As a result, the number of successful allottees in that category will increase by 33 from 500 to 533.

The above principle is illustrated in the Annexure.

(g) As the process of rounding off to the nearer multiple of.100 may result in the actual allotment being higher than the securities offered, it would be necessary to allow a 10% margin i.e. the final allotment may be higher upto 110% of the size of the actual offering.